important role to ensure success.

According to survey participants, it will be prudent on the part of the government to work on the PPP model, where the technology, manpower and infrastructure available with the public-sector units (PSUs) can be leveraged in partnership with private enterprises to optimise and streamline defence projects towards quick completion.

The PPP model will introduce ordinance factories to a more competitive corporate culture—a mindset that is required to pitch for contracts with the private industry. Ordinance factories have vast infrastructure but they lack efficiency. Therefore, in the PPP model, the required levels of efficiency can be assured through proper assimilation of technology from the private sector and efficient utilisation of the huge infrastructure available with ordinance factories. This could lead to a win-win situation for both the private sector, which is looking to foray into defence manufacturing, and the public sector, which has a strong grip on defence procurements.

The Armed Forces have also been engaging with academia to solve various technical challenges. For instance, IIT Bombay was involved in a project to reduce the cost of the artillery shell guidance system. There are many more such examples. Around 65 per cent of respondents (Fig. 5) were optimistic about this kind of partnership.

Moreover, the right kind of collaboration can also help to resolve supply chain related issues.

Policies: The good, and the bad

As many as 75 per cent survey participants find DPP 2016 to be effective enough, plugging all the loopholes of the previous policy (Fig. 6). The remaining 25 per cent feel that it can be effective only when:

1. Tangible benefits are realised by Indian SMEs and MSMEs.
2. Global OEMs partner with Indian companies with actual manufacturing capabilities, rather than those with just financial might, to make the concept of Make in India doable.
3. The government gives more importance to the Ministry of Defence's 23 key 'Make in India' projects designed by the Indian PSUs and DRDO rather than allowing foreign OEMs to manufacture their material in India.
4. The policy gets simplified and a penalty is imposed on the defence procurement agencies for delays and cancellations.

Sixty-five per cent survey participants believe that removal of the 49 per cent FDI limit in the defence sector has opened up avenues for significant investments, and given the much required impetus for many SMEs to get access to finance and technology (Fig. 7). The liberalised FDI regime permits up to 100 per cent foreign equity in the defence sector. Of this, up to 49 per cent is